NATIONAL ASSOCIATION OF INVESTORS CORPORATION

NAIC®

INVESTMENT EDUCATION FOR INDIVIDUALS AND CLUBS SINCE 1951

Stock Selection Guide®

The most widely used aid to good investment judgment

Company _____ Date _____

Prepared by _____ Data taken from _____

Where traded _____ Major product/service _____

CAPITALIZATION — Outstanding Amounts

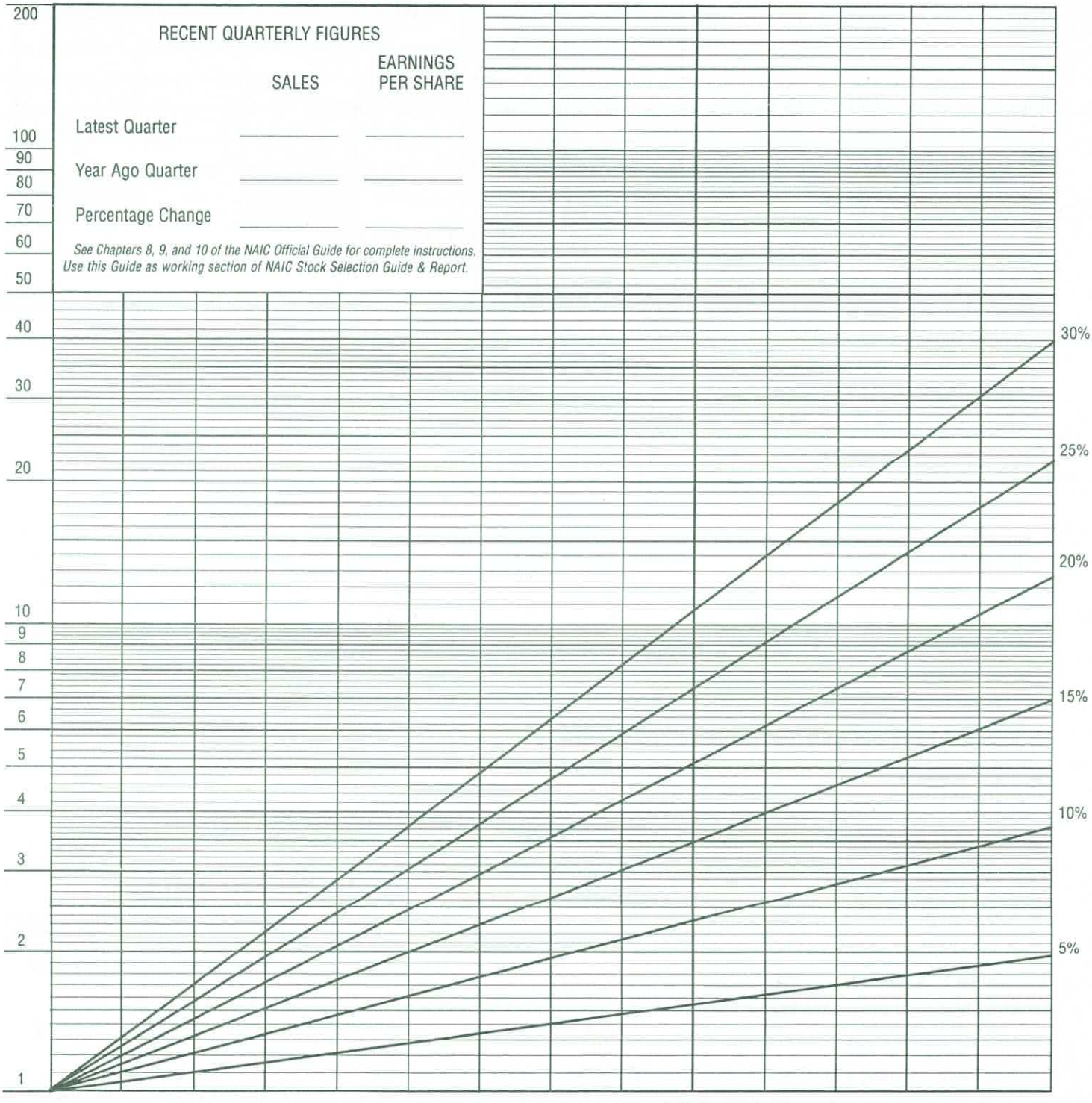
Preferred		% Insiders	% Institution
Common			
Debt	% to Tot. Cap.	% Potential Dil.	

1 VISUAL ANALYSIS of Sales, Earnings and Price

RECENT QUARTERLY FIGURES

	SALES	EARNINGS PER SHARE
Latest Quarter		
Year Ago Quarter		
Percentage Change		

See Chapters 8, 9, and 10 of the NAIC Official Guide for complete instructions. Use this Guide as working section of NAIC Stock Selection Guide & Report.



(1) Historical Sales Growth _____ %

(2) Estimated Future Sales Growth _____ %

(3) Historical Earnings Per Share Growth _____ %

(4) Estimated Future Earnings Per Share Growth _____ %

2 EVALUATING MANAGEMENT

Company _____

	19___	19___	19___	19___	19___	19___	19___	19___	19___	19___	LAST 5 YEAR AVG.	TREND UP	TREND DOWN
A % Pre-tax Profit on Sales (Net Before Taxes ÷ Sales)													
B % Earned on Equity (E/S ÷ Book Value)													

3 PRICE-EARNINGS HISTORY as an indicator of the future

This shows how stock prices have fluctuated with earnings and dividends. It is a building block for translating earnings into future stock prices.

PRESENT PRICE _____ HIGH THIS YEAR _____ LOW THIS YEAR _____

	Year	A PRICE HIGH	B PRICE LOW	C Earnings Per Share	D Price Earnings Ratio HIGH A ÷ C	E Price Earnings Ratio LOW B ÷ C	F Dividend Per Share	G % Payout F ÷ C X 100	H % High Yield F ÷ B X 100
1									
2									
3									
4									
5									
6	TOTAL								
7	AVERAGE								
8	AVERAGE PRICE EARNINGS RATIO				9	CURRENT PRICE EARNINGS RATIO			

4 EVALUATING RISK and REWARD over the next 5 years

*Assuming one recession and one business boom every 5 years, calculations are made of how **high** and how **low** the stock might sell. The upside-downside ratio is the key to evaluating risk and reward.*

A HIGH PRICE — NEXT 5 YEARS

Avg. High P/E _____ (3D7 as adj.) X Estimated High Earnings/Share _____ = Forecast High Price $ _____ (4A1)

B LOW PRICE — NEXT 5 YEARS

(a) Avg. Low P/E _____ (3E7 as adj.) X Estimated Low Earnings/Share _____ = $ _____

(b) Avg. Low Price of Last 5 Years = _____ (3B7)

(c) Recent Severe Market Low Price = _____

(d) Price Dividend Will Support $\frac{\text{Present Divd.}}{\text{High Yield (H)}}$ = _____ = _____

Selected Estimated Low Price _____ = $ _____ (4B1)

C ZONING

_____ (4A1) High Forecast Price Minus _____ (4B1) Low Forecast Price Equals _____ (C) Range. 1/3 of Range = _____ (4CD)

(4C2) Lower 1/3 = (4B1) _____ to _____ (Buy)

(4C3) Middle 1/3 = _____ to _____ (Maybe)

(4C4) Upper 1/3 = _____ to _____ (4A1) (Sell)

Present Market Price of _____ is in the _____ (4C5) Range

D UP-SIDE DOWN-SIDE RATIO (Potential Gain vs. Risk of Loss)

$\frac{\text{High Price (4A1) _____ Minus Present Price _____}}{\text{Present Price _____ Minus Low Price (4B1) _____}}$ = _____ = _____ (4D) To 1

E PRICE TARGET (Note: This shows the potential market price appreciation over the next five years in simple interest terms.)

$\frac{\text{High Price (4A1) _____}}{\text{Present Market Price _____}}$ = (_____) X 100 = (_____) − 100 = _____ (4E) % Appreciation

5 5-YEAR POTENTIAL

This combines price appreciation with dividend yield to get an estimate of total return. It provides a standard for comparing income and growth stocks.

Note: Results are expressed as a simple rate; use the table below to convert to a compound rate.

A $\frac{\text{Present Full Year's Dividend \$ _____}}{\text{Present Price of Stock \$ _____}}$ = _____ X 100 = _____ (5A) Present Yield or % Returned on Purchase Price

B AVERAGE YIELD OVER NEXT 5 YEARS

Avg. Earnings Per Share Next 5 Years _____ X Avg. % Payout (3G7) _____ = _____ = _____ (5B) %

Present Price $ _____

C ESTIMATED AVERAGE ANNUAL RETURN OVER NEXT FIVE YEARS

$\frac{\text{5 Year Appreciation Potential (4E) _____}}{5}$ = _____ %

Average Yield (5B) . . . . . _____ %

Average Total Annual Return Over the Next 5 Years (5C) _____ %

Table to Convert From Simple to Compound Rate

Simple Rate 2 4 6 8 10 12 14 16 18 20 22 24 26 28 30 32 34 36 38 40

Compound Rate 2 4 6 8 10 12 14 16 18 20 22 24

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